

**UNITED STATES INTERNATIONAL TRADE COMMISSION
WASHINGTON, D.C.**

In the Matter of

**CERTAIN SECONDARY
CYLINDRICAL BATTERIES,
COMPONENTS THEREOF, AND
PRODUCTS CONTAINING THE
SAME**

Investigation No. 337-TA-3926

**COMPLAINANTS' REPLY TO THE PUBLIC INTEREST
STATEMENT OF EVE ENERGY**

Pursuant to 19 C.F.R. § 210.8(c)(2), Complainants LG Energy Solution, Ltd. and LG Energy Solution Arizona, Inc. (collectively, “Complainants”) submit this reply to the Public Interest Statement of Proposed Respondents EVE Energy Co., Ltd., EVE Energy North America Corporation, and EVE Energy US Holding LLC (collectively, “EVE”).

EVE asks the Commission to delegate public interest fact-finding based on three assertions, none of which withstands scrutiny. **First**, EVE contends that the accused cells are used in medical devices, but the only identified downstream products are cordless power tools and outdoor power equipment sold under the Bosch, Metabo HPT, and EGO brands, and EVE does not identify a single medical device—or a single medical device manufacturer—that any remedial order would reach. Its public health argument rests on nothing more than EVE’s marketing webpage listing potential applications for a cell format—a far cry from the concrete concerns that warrant delegation. **Second**, EVE contends that no supplier could replace the accused articles in a commercially reasonable time, but it addresses only the facility under construction in Arizona while ignoring that LGES has manufactured cylindrical cells at scale since 1999 and that multiple third-party suppliers—who on EVE’s own figures account for roughly 92% of global power tool battery shipments—already serve United States customers. **Third**, EVE speculates that LGES’s broader enforcement activity casts doubt on alternative supply, but the Commission has squarely held that a complainant’s enforcement activities are irrelevant. The Commission should thus institute an investigation without delegating public interest fact-finding to the ALJ.

I. The Accused Articles Do Not Implicate Public Health or Welfare

EVE contends that the accused articles are used in “critical public health and welfare sectors like medical devices,” and that the Commission should therefore delegate public interest fact-finding. *See* Respondents’ Public Interest Submission (“RPIS”) at 2. That contention has no support. The identified downstream articles are the cordless power tools and outdoor power

equipment sold under the Bosch, Metabo HPT (Koki), and EGO (Chervon) brands. Compl. ¶¶ 26–35, 112–116, Ex. 22. No medical device manufacturer is a proposed respondent, and not one accused downstream article is a medical device, a pharmaceutical, a component of critical infrastructure, or an article necessary to satisfy any public health or welfare need. EVE does not contend otherwise. It does not identify a single instance of Bosch, Koki, or Chervon selling or importing into the United States a medical device containing an accused EVE battery cell. EVE’s argument requires the Commission to assume the existence of articles not accused in the Complaint and that no remedial order would reach.

EVE’s supporting evidence is a page from its own website listing “Medical Device[s]” among the applications for 18650- and 21700-format cells. RPIS at 2, n. 6. That is a marketing description of what a cell format can do, not evidence of what any accused article does. EVE’s phrasing concedes the point: it states only that medical products “can use” secondary cylindrical batteries, “including those such as” the 29V, and that “at least some” accused batteries have “applicab[ility]” in medical devices. *Id.* EVE identifies no United States medical device containing an accused cell, no manufacturer of such a device, and no volume of such sales. EVE’s own product literature for the 29V—the single cell it names as an example—describes that cell’s market as power tool and garden tool brands, electric two-wheelers, vacuum cleaners, and portable energy storage.¹ Medical devices are conspicuously absent. Here, the “strong public interest in enforcing intellectual property rights” far outweighs EVE’s hypothetical concerns. *Certain Baseband Processor Chips & Chipsets*, Inv. No. 337-TA-543, Comm’n Op. at 136–37 (June 19, 2007).

¹ EVE Energy, 18650 29V – Cylindrical NCM Cell, <https://www.evemall.eu/consumer-battery/cylindrical-ncm-cell/18650-29v> (last visited Aug. 6, 2026).

II. Alternative Cylindrical Cells Are Available in Volume Today

EVE contends that the “entirety” of Complainants’ capacity rests on “hopes for future capacity” in Arizona. RPIS at 3. That is wrong. LGES has mass-produced secondary cylindrical batteries since 1999 and manufactures 18650- and 21700-format cells at scale at its existing facilities today. LGES also operates manufacturing facilities in the United States, which can be retooled to manufacture cylindrical cells if demand requires. Compl. ¶¶ 13, 16–17. The Arizona facility, in which LGES has already invested approximately \$2.5 billion and which is expected to begin commercial production in late 2026, is relevant to the domestic industry in the process of being established; it is not the source of LGES’s present ability to supply cylindrical cells.

EVE’s submission also concedes the availability of alternative supply. EVE relies on market research reporting that it held approximately 7.9% of global power tool battery shipments and ranked third among suppliers. RPIS at 3. On EVE’s own figures, other manufacturers account for the overwhelming majority of that market (92%). Those manufacturers include LGES, Samsung SDI, Panasonic, Murata, and Molicel, each of which produces cells in the accused formats and maintains high-volume production serving United States customers. CPIS at 4–5. Where “the market contains an adequate supply of competitive or substitute products,” no public interest concern arises. *Certain Elec. Digital Media Devices & Components Thereof*, Inv. No. 337-TA-796, Comm’n Op. at 114-15 (Sept. 6, 2013).

EVE also misstates the standard, asserting that it is unaware of articles that could “directly and immediately replace” the accused articles. RPIS at 5. The inquiry is whether replacement can occur “in a commercially reasonable time,” not instantaneously. 19 C.F.R. § 210.8(b)(4). The accused cells are, as EVE describes them, 18650- and 21700-format cells—standardized dimensional formats that multiple manufacturers supply interchangeably. Replacement of one manufacturer’s 18650 or 21700 cell with another’s is precisely the kind of substitution these

standardized dimensional formats are designed to facilitate, and there is no reason it cannot occur well within any commercially reasonable timeframe.

EVE's qualification-time argument is similarly unsupported: it offers no detail on any qualification protocol, no estimate of any timeline, and no indication from any customer that qualification would present a difficulty. RPIS at 4-5. The argument also ignores that downstream power tool OEMs routinely qualify multiple cell suppliers across their product lines—indeed, publicly available teardowns confirm that Bosch and Chervon battery packs have contained Samsung SDI cells, demonstrating that these Respondents already source cells from suppliers other than EVE.² Qualification of alternative suppliers is a routine commercial exercise, not an obstacle to replacement. An unsupported assertion that component qualification takes time would apply in every investigation involving a component and is not a basis for delegation.

III. Complainants' Licensing Program Is Not A Basis For Delegation

EVE argues that because this action is part of an enforcement effort within the Tulip battery licensing program, the Commission cannot rely on third-party suppliers who may themselves be future targets. RPIS at 4. The Commission has rejected this very argument. *Certain Personal Data and Mobile Communications Devices and Related Software*, Inv. No. 337-TA-710, Comm'n Op. at 68 (Dec. 29, 2011) (rejecting argument that the Commission should consider complainant's broader enforcement campaign against other manufacturers when assessing public interest, holding it "premature or erroneous" to treat a limited exclusion order against one respondent as implicating products of non-respondents). Moreover, the existence of the licensing program cuts

² See, e.g., ToolGuyd, New Bosch Core18V Next-Gen 4.0Ah Compact Battery Pack (2019), <https://toolguyd.com/bosch-core18v-4ah-compact-battery-pack-and-8ah-teaser/> (identifying Samsung INR21700-40T cells); Harvested Samsung 25R from Ego 56V Battery Pack, BudgetLightForum (June 2021), <https://budgetlightforum.com/t/harvested-samsung-25r-from-ego-56v-battery-pack-quick-question/66865> (documenting Samsung 25R cells).

against EVE’s argument. A functioning licensing program demonstrates that market participants can obtain a license and continue supplying the United States market, as EVE’s own citation confirms in noting the program’s recent license agreement with Sunwoda Electronic. RPIS at 4. And EVE’s argument is speculation about litigation that does not exist. EVE offers no evidence that Samsung SDI, Panasonic, Murata, or Molicel sells infringing products, is unlicensed, or is the subject of any claim; its supporting materials are a press release and a news aggregator. Conjecture about future disputes with non-parties is not a basis for delegation. *See, e.g., Certain Magnetic Data Storage Tapes & Cartridges Containing Same*, Inv. No. 337-TA-1012, Comm’n Op. at 139–40 (Apr. 2, 2018) (Respondent’s “speculation” is irrelevant to the public interest factors).

IV. EVE’s Remaining Assertions Provide No Basis For Delegation

EVE’s description of its own United States activity does not advance its position, and it points only to a research and development facility announced in Lewis Center, Ohio in 2023.³ RPIS at 1. A respondent’s own domestic presence is not a public interest factor, and a research facility is not cell production; EVE does not allege that it manufactures any cylindrical cells in the United States. Moreover, EVE does not separately address competitive conditions in the United States economy or the domestic production of like or directly competitive articles. And the absence of any public interest submission from any other proposed respondent or any third party is telling. Bosch, Koki, and Chervon—the companies that sell the accused downstream products to United States consumers—have not suggested that exclusion would harm the public interest.

For the foregoing reasons, EVE’s submission does not provide a compelling reason to burden the ALJ with public interest fact-finding.

³ EVE touts its Ohio research facility and its alleged commitment to American investment, yet dismisses the Section 1260H Chinese Military Company designation as “irrelevant” to the public interest inquiry. It cannot invoke its own U.S. presence as a reason for the Commission’s sympathy while treating the U.S. government’s assessment of EVE as beside the point.

Dated: August 7, 2026

Respectfully submitted,

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CERTIFICATE OF SERVICE

I, Jeffrey Matthews, hereby certify that on August 7, 2026 a copy of the foregoing document was served upon the following parties as indicated:

The Honorable Lisa R. Barton Secretary to the Commission U.S. International Trade Commission 500 E Street, S.W. Washington, D.C. 20436	☐ Via First Class Mail ☐ Via Hand Delivery ☐ Via Electronic Mail ☒ Via EDIS
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/s/ Jeffrey Matthews

Jeffrey Matthews